

How to set up a worker co-op

An email course from workers.coop



Image taken from [The Worker Co-operative Code](#) by Co-operatives UK

Discover the power of cooperation with our email course on setting up a worker co-op. This engaging journey will guide you through the essentials of worker-owned businesses, their unique benefits, and the steps to create your own successful worker co-op.

Welcome Email

Subject: 🦊 Welcome to 'How to set up a worker co-op'!

👋 Hello!

Welcome to this introductory course on how to start a worker co-op! This course is designed to help you with your first steps and has been put together by [WAO](#), a member of the [workers.coop](#) federation.



Image taken from [The Worker Co-operative Code](#) by Co-operatives UK

After this welcome email, you will receive three more on consecutive days:

- The first (arriving tomorrow!) explains what worker co-ops are. As we'll see, this involves a **mindshift**. We'll look at how worker co-ops are different from other kinds of organisations, and the benefits of setting up and being part of one!
- In the second email we'll explore **governance** in the world of worker co-ops. We'll also have a look at the [The International Cooperative Alliance](#) (ICA) principles and values, and how they underpin democratic decision-making.
- The third and final email of this short course is about **details**. We'll dive into the advice around some ways to set up a worker co-op, your governing documents, and how to register your worker co-op.

If you've got any questions about this course as you go along, the best place to get answers is on the [workers.coop forum](#). This is a place where people with plenty of worker co-op experience hang out! Register, and get chatting!

Each of the emails in this short course will take about five minutes to read and digest, and your next one will arrive tomorrow! 😊

Email 1: 🧠 Mindshift

Subject: 🙌🧠 How to set up a worker co-op (1)

🙌 Welcome back!

In this email, we'll delve into the fundamentals of what makes a worker co-op so extraordinary. By understanding the key differences between worker co-ops and other organisations, you'll be better equipped to appreciate the unique benefits that come with setting up and being part of a worker-owned business.



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What is a worker co-op?

Let's start with a definition that marvellously captures the essence of worker co-ops:

"Worker co-operatives are trading enterprises, owned and run by the people who work in them, who have an equal say in what the business does, and an equitable share in the wealth created from the products and services they provide." ([Co-operatives UK](#))

Sounds great! Let's explore further...

The Worker Co-op Advantage: a wealth of benefits

1. **Democratic Self-Management:** No more being bossed around! In worker co-ops, members make decisions collectively and have a say in how things are run.
2. **Sustainable Jobs:** Providing and protecting jobs is a worker cooperative's primary objective. In tough times you and the other workers decide how to restructure the workforce. Job security? Yes please!
3. **Generating Wealth:** Worker co-ops aren't just about survival; they're also about thriving! They help create prosperity and financial stability for their members by sharing profits/surplus created.
4. **Improved Quality of Life:** Worker-members enjoy a better work-life balance and a supportive, respectful work environment. Who wouldn't want that?
5. **Community & Local Development:** Cooperatives are embedded in the local community. Where possible worker co-ops prioritise local resources, support other local businesses, and contribute to the well-being of their communities.

That's a wealth of fantastic benefits, right?

Embracing the Worker Co-op Mindshift

The worker co-op mindshift involves rethinking the way you approach work and business. Traditional businesses often focus on hierarchy, individualism, and profit maximisation, whereas worker co-ops prioritise democratic decision-making, shared ownership, and the welfare of their members and communities.

The Mindshift in Action: an example

Here's an example of this mindshift in action. Imagine a traditional bakery, where the owner makes all the decisions, hires and fires employees, and reaps the majority of the profits. The owner decides what kind of bread to bake and what kind of cakes to make. Now, picture a worker-owned bakery co-op, where each member has an equal say in the decision-making process, shares the responsibility of running the business, and receives a fair share of the profits.

In the worker-owned bakery, members can suggest something different that satisfies the sweet tooth of their particular audience or customer. The freedom to invent and lead provides members with a sense of empowerment. Members work together towards a common goal and support one another, fostering a sense of community and solidarity.

This example showcases how embracing the worker co-op approach creates a more democratic, equitable, and empowering work environment for everyone involved. In San Francisco, the Arizmendi bakery even helped set up new worker co-op bakeries, rather than just become bigger themselves.

You might be involved in a different sector, but the democratic underpinnings remain the same.

Going further

- [Worker co-op code](#)
- [Cooperative identity, values & principles](#)
- [List of worker co-op resources](#)

Next steps

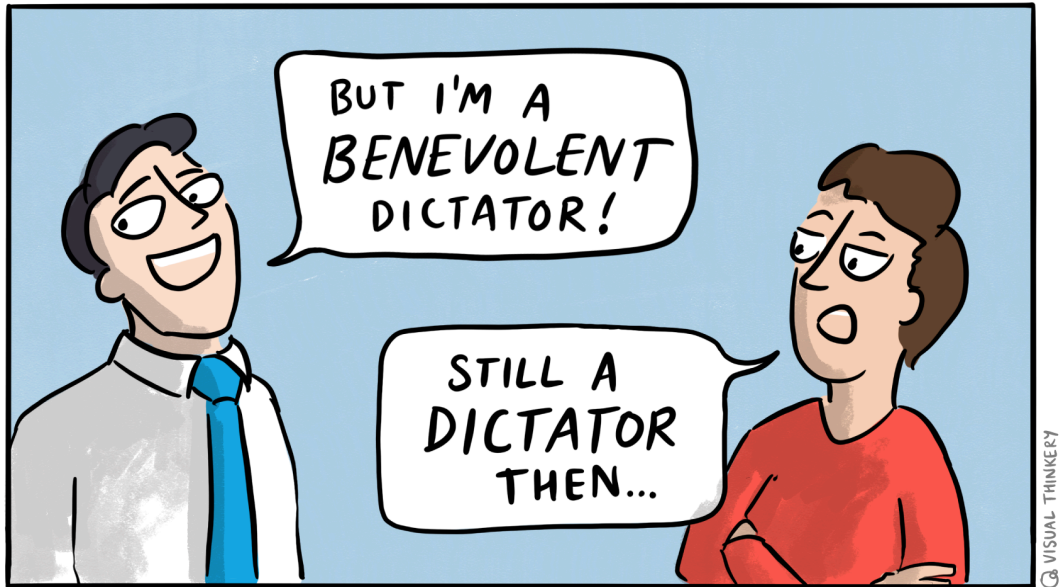
In our next email we'll start getting into governance. We'll be covering topics such as decision-making processes, conflict resolution strategies, and fundamental principles that shape worker co-ops!

Email 2: Governance

Subject:   How to set up a worker co-op (2)

Hello again

Last time, we discussed the mindshift involved in joining the worker co-op ecosystem. Today, we're exploring governance: decision-making processes, conflict resolution strategies, and fundamental principles that shape the heart of worker co-ops. Let's get started! 



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What is Governance?

In a nutshell, governance is the system by which an organisation is directed and controlled. In the context of worker co-ops, governance entails creating a democratic and inclusive decision-making environment where all worker members have a voice and a role in shaping the worker co-op's future. Sounds empowering, doesn't it? 🌟

Decision-making models

There are many ways to make decisions. You could delegate the decision to someone. You could flip a coin. But as worker co-ops need to make decisions as democratically as possible, there are a number of approaches which it's worth exploring in more detail:

1. **Consensus:** this model focuses on finding a solution that all members agree upon. It's about collaboration, empathy, and striving for a common understanding. Everyone agrees to the new cake.
2. **Majority Rule:** in this approach, decisions are made based on a simple majority vote. Each member has one vote, and the option (cake) that receives more than 50% of the votes becomes the decision. Majority rule can be a quicker decision-making process compared to consensus, but it may not always address the concerns of the minority.
3. **Consent-Based Decision Making:** this model requires every participant to give their consent before a decision is made. This doesn't necessarily mean that

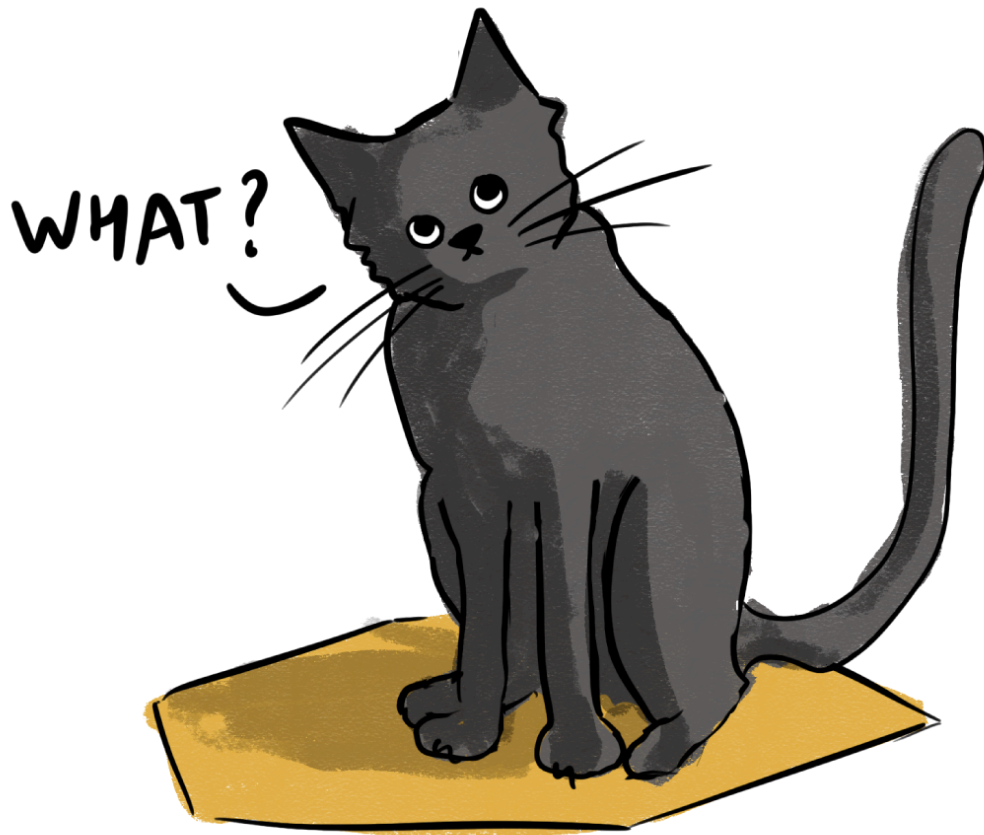
every individual fully agrees with the decision, but rather they don't have any insurmountable objections. In other words, they can live with the decision.

4. **Sociocracy:** this model, also known as 'dynamic governance', is a method of decision-making and governance that also uses consent-based decision-making, but it has a specific set of practices. People agree to change that is within their range of tolerance rather than what they think might be the perfect outcome. The guiding principle is to move forward with what is "good enough for now and safe enough to try".
5. **Delegated Decision-Making:** with this approach, the worker co-op delegates certain decisions to specific individuals or committees with expertise in the relevant areas. Going back to our bakery example, perhaps the decision is delegated to a member who learned pastry-making. Delegation can streamline the decision-making process and empower members with specific skills and knowledge, but it requires a high level of trust and clear communication within the worker co-op.

...and there are many more! This might feel like a lot, but in practice worker co-ops use different approaches depending on the situation and the importance of the issue at hand.

For example, if you are deciding whether or not your worker co-op should spend some of its budget on sending a member to an event, you might use a consent-based approach such as Sociocracy. If, on the other hand, you are making a decision about making a change to your governing documents, you would probably need to use consensus decision-making.

So, worker co-ops may choose to adopt one of these approaches or develop a hybrid model that combines aspects of multiple approaches to best suit their specific needs and values. The key is to ensure that the chosen decision-making model aligns with the worker co-op's principles, objectives, and the overall well-being of its members. You will learn a lot from other worker co-ops in the network, and through trial and error!



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Conflict: a fact of life

Let's be honest, conflicts are a part of any group dynamics, and worker co-ops are no exception. If you remember our bakery example, you might have thought "But what if no one likes the cake a member suggests?" The key to a healthy worker co-op is addressing conflicts constructively and openly, turning challenges into opportunities for growth and learning. In a worker-owned business, there is more of an incentive to deal with issues without recourse to hierarchy.

Outlandish, a worker co-op, runs workshops on [reframing conflict](#) which can be particularly useful to attend with your worker co-op colleagues *before* major conflict occurs! Some of the strategies involved, such as non-violent communication can really help with interactions in the workplace.

Other things to consider

Apart from decision-making, worker co-ops need to consider several other aspects of governance to ensure smooth functioning, accountability, and long-term success. Some of these are no different from any other business, while others are a function of worker-ownership.

Key considerations include:

- **Clear roles and responsibilities:** defining roles and responsibilities for members helps in the efficient allocation of tasks, avoiding confusion and conflict. It's essential to establish expectations and ensure members understand their individual roles and how they contribute to the worker co-op's overall goals.
- **Accountability mechanisms:** Establishing methods for holding members accountable is vital for maintaining trust and transparency within the worker co-op. Regular performance reviews, peer evaluations, and open discussions about individual and collective progress can help members stay aligned with worker co-op objectives and address any concerns.
- **Policies and Procedures:** developing policies and procedures that outline the worker co-op's values, rules, and best practices can help create consistency and fairness in decision-making, conflict resolution, and day-to-day operations. These policies may cover topics such as member recruitment, remuneration, conflict resolution, and more.
- **Communication channels:** effective communication is the foundation of any well-functioning organisation, including worker co-ops. Establishing clear communication channels and protocols helps facilitate the exchange of information and ensures that all members are well-informed and can participate in the worker co-op's governance.
- **Training and education:** providing ongoing training and education opportunities for members enables them to develop the skills and knowledge needed to contribute effectively to the worker co-op's governance and operations. This could include workshops, seminars, mentorship programs, or attending conferences relevant to the worker co-op's industry or operations.
- **Monitoring and evaluation:** regularly assessing the worker co-op's performance against its objectives and making adjustments as needed is crucial for ensuring the worker co-op's long-term viability and growth. Monitoring and evaluation processes might involve tracking financial

performance, measuring social impact, and assessing the effectiveness of governance structures and processes.

- **Succession planning:** ensuring the continuity of leadership and knowledge transfer within the worker co-op is essential for long-term success. Worker co-ops should develop a succession plan to prepare for members leaving or retiring and to prepare future leaders from within the organisation.

By addressing these aspects of governance, worker co-ops can create a strong foundation for democratic, inclusive, and effective decision-making that supports their long-term objectives and fosters a healthy, thriving work environment for all members.

Going further

- [Sociocracy – basic concepts and principles](#)
- [Co-operantics](#)
- [The Handbook of Handbooks for Decentralised Organising](#)

Next steps

In the next email we'll start getting into the details of how to set up a worker co-op, the importance of your governing documents, and how to register your worker co-op!

Email 3: Details

Subject:   How to set up a worker co-op (3)

Welcome back!

You've made it to the last email of our short course, and by now, you've developed a solid understanding of the worker co-op mindshift and the principles of worker co-op governance. Congratulations! 🎉

Now it's time to dive into the details of setting up your very own worker co-op. We'll explore different ways to set up a worker co-op, the importance of your governing documents, and how to register your worker co-op.

Let's get started!



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Laying the Foundations: different ways to set up a worker co-op

No two worker co-ops are the same and the process of setting up a worker co-op can take various forms. Here are some common approaches:

1. **Starting from scratch:** if you're beginning with a brand-new venture, you'll need to develop a business plan, identify your member-owners, and establish governance structures from the ground up.
2. **Partnering with other co-ops:** collaborating with existing worker co-ops in your industry or community can provide valuable support and resources to help you launch your worker co-op successfully.
3. **Converting an existing business:** transforming an existing business into a worker co-op involves a shift in ownership and decision-making structures. This method allows you to build upon an established company while adopting the democratic values of a worker co-op.

Regardless of the approach you choose, it's essential to engage your founding members in the decision-making process, ensuring everyone is committed to the worker co-op's goals and values.

Creating a Strong Backbone: governing documents

Your worker co-op's governing documents are the legal foundation that outlines its structure, governance, and objectives. These documents establish the worker co-op's identity and help protect its democratic principles. When drafting your governing documents, be sure to:

1. Clearly state your worker co-op's purpose, values, and objectives.
2. Define the membership structure and eligibility criteria.
3. Specify the voting rights and decision-making processes.
4. Outline the distribution of surplus (profits) among members.
5. Detail the governance structure and responsibilities of members and directors.

Your governing documents should be a living, and open to review and revision as your worker co-op evolves and grows. You don't have to create these from scratch: there are models that have been written by [Co-operatives UK](#), [Radical Routes](#) and [Somerset Co-op Services](#) which enshrine worker co-op values and principles so you don't have to do it from scratch

Putting It All Together: registering your worker co-op

Once you've developed your business plan, assembled your founding members, and drafted your governing documents, it's time to register your worker co-op officially. The registration process varies depending on your location, but there is lots of support available. You just need to focus on the big questions:

1. **What is your worker co-op's purpose?** What are your values, and objectives?
2. **Who can be members?** Will it be just employees or self-employed people, or a mixture of both? Do they need any other eligibility criteria like minimum hours per month or completion of a probationary period?
3. **How will you make decisions and be governed?** (see previous email)
4. **How will you distribute surplus (profits) among members?** Will you be "not-for-profit" or allocate certain percentage to good causes?
5. **Will you be commonly owned, otherwise known as having an "asset-lock"?** (this ensures that current or future members can't profit from the future sale of the business). Or will you be jointly owned with individuals just having individual shares, as with any other company?

So you know, the process generally involves:

- Choosing a unique name for your worker co-op.

- Submitting your governing documents and any required supporting documents to the appropriate regulatory authority.
- Paying any applicable fees associated with registration.

It's worth noting that some countries do have a "cooperative" legal entity, while others do not. If you live in an area where a "cooperative" is not a legal entity, you'll want to enshrine cooperative membership rights carefully.

Worker co-op advisors such as Co-op Culture can help you with this, and they will usually have a template of governing documents that you can use. They can also register your worker co-op for you!

Congratulations on Completing the Course! 🌟

You've now reached the end of our short course on setting up a worker co-op. We hope this journey has been both informative and inspiring, empowering you with the knowledge and enthusiasm to bring your worker co-op vision to life. Remember, starting a worker co-op is just the beginning of an exciting adventure where you'll continue learning, growing, and making a positive impact on your members and community.

Going further

- [RadHR](#)
- [Business Support for Co-ops](#)
- [Co-op Culture](#)

Next steps

You'll probably have lots of questions and maybe require some expert advice. The best place to get answers is on the [workers.coop forum](#). This is a place where people with plenty of worker co-op experience hang out! Register, and get chatting!

Best of luck with your worker co-op journey, and never stop believing in the power of collective action and democratic ownership! 💪